

Short-Term Financial Management & Working Capital

Corporate Finance

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Part 1: Cash Cycle Introduction

- Components of the Cash Cycle
- Short-Term Financial Policy (Pros & Cons)

Part 2: Cash Management

- Corporate Cash Management Strategies
- Short-Term Marketable Securities (SBI, etc.)

Part 3: Short-Term Financial Planning

- Formulating Cash Budgets
- Indonesian Short-Term Financing Sources

Part 4: Receivables Management

- Important Credit Management Issues
- Economic Impact of Cash Discounts
- Evaluating Credit Policy Proposals
- Components of Credit Analysis (5Cs & SLIK)

Part 5: Inventory Management

- Key Inventory Cost Components
- The EOQ Optimization Model

1. Components of the Cash Cycle

Operating Cycle

The total time window spanning from the initial acquisition of raw materials up to the eventual collection of cash proceeds from accounts receivable.

$$\text{Operating Cycle} = \text{Inventory Period} + \text{Accounts Receivable Period}$$

Cash Cycle

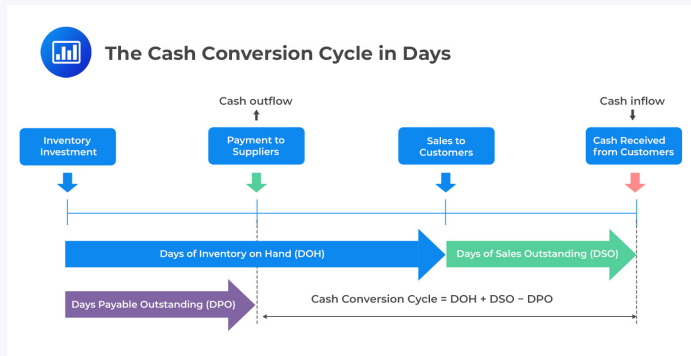
The net duration between actual cash disbursements made for raw material purchases and subsequent cash inflows collected from clients.

$$\text{Cash Cycle} = \text{Operating Cycle} - \text{Accounts Payable Period}$$

Financial Implication

A longer cash cycle translates directly to larger amounts of working capital required by firms to sustain internal daily operations.

Cash Conversion Cycle



- $\text{Inventory Turnover} = \text{COGS} / \text{Avg Inventory}$
- $\text{DOH} = 365 \text{ days} / \text{Inventory Turnover}$
- $\text{Receivables Turnover} = \text{Sales} / \text{Avg Receivables}$
- $\text{DSO} = 365 \text{ days} / \text{Receivables Turnover}$

- $\text{Payables Turnover} = \text{COGS} / \text{Avg Payable}$
- $\text{DPO} = 365 \text{ days} / \text{Payables Turnover}$
- $\text{Cash Conversion Cycle} = \text{DOH} + \text{DSO} - \text{DPO}$
- $\text{Operating Cycle} = \text{DOH} + \text{DSO}$

Case Study: PT ABC (Manufacturing)

A manufacturing firm based in the Jabodetabek region records the following average operational metrics:

- Average days inventory stays in warehouse (*Inventory Period*): **60 days**
- Average collection period from credit clients (*A/R Period*): **45 days**
- Average payment period allowed by raw material suppliers (*A/P Period*): **30 days**

Mathematical Calculations:

- Operating Cycle = 60 days + 45 days = 105 days
- Cash Cycle = 105 days – 30 days = **75 days**

Analysis: PT Nusantara Jaya must arrange temporary external credit facilities or draw from cash balances to bridge operations during this 75-day cash deficit window.

2. Pros & Cons of Short-Term Financing Policies

Financial managers must constantly evaluate the trade-offs between **carrying costs** (costs that rise with current asset levels) and **shortage costs** (costs that fall when current assets rise).

Flexible Policy (Conservative)

- Keeps high cash balances, large inventories, and generous credit terms.
- **Pros:** Lower operational/stockout risks; boosts competitive sales.
- **Cons:** Substantial opportunity cost on non-earning frozen current assets.

Restrictive Policy (Aggressive)

- Minimizes current assets, enforcing tight collections and dynamic inventories.
- **Pros:** High structural capital efficiency; high asset turnover ratios.
- **Cons:** Significant inventory stockout exposures; high risk of losing client loyalty.

3. Corporate Cash Management Strategies

Corporations choose to hold active cash balances primarily driven by three core economic motives: **Transactions**, **Precautionary measures**, and **Speculation**.

Key Cash Management Strategies:

- ➊ **Accelerating Collections:** Utilizing corporate *Virtual Account* (VA) channels, multi-bank institutional structures, and instant local settlement processing engines (such as dynamic QRIS networks).
- ➋ **Controlling Disbursements:** Extending domestic *Terms of Payment* legally to match supplier thresholds without incurring late fines, alongside leveraging cost-effective networks like **BI-FAST**.
- ➌ **Optimal Target Cash Balances:** Implementing financial programming frameworks (e.g., Baumol or Miller-Orr models) to dynamically configure operational safety margins.

4. Short-Term Marketable Securities in Indonesia

When corporate balance sheets manifest temporal excess cash surpluses, managers deploy capital into highly liquid, low-risk money market vehicles:

Security Type	Issuer	Liquidity	Default Risk	Indonesian Market Context
Sertifikat Bank Indonesia (SBI)	Bank Indonesia	Exceptionally High	Near Zero	Primary monetary control instrument.
Commercial Paper (SBK)	Rated Corporations	Moderate	Low to Moderate	Regulated under OJK; tenors under 12 months.
Time Deposits (Deposito)	Commercial Banks	High	Very Low (<LPS cap)	Fixed terms (1–6 mos); liquid but carries early break costs.
Treasury Bills (SPN)	Republic of Indonesia	Exceptionally High	Zero Risk	Sovereign short-term notes backed by national budget.

Four Core Allocation Screening Pillars

1. Maturity Windows
2. Default/Credit Risk
3. Marketability & Liquidity
4. Tax Treatments

5. Formulating Cash Budgets

A corporate **Cash Budget** estimates incoming collection streams and outgoing payment obligations over short horizons to pinpoint net surplus or deficit thresholds.

Case Study: Cash Budgeting Forecast for PT Java Trading (Q3)

All Figures Stated in **Millions of Indonesian Rupiah (IDR)**

Line Item	July	August	September
Beginning Cash Balance	50	70	(10)
(+) Projected Cash Inflows (Collections)	200	150	300
Total Cash Available	250	220	290
(-) Projected Cash Disbursements (Purchases, Opex)	(180)	(230)	(160)
Ending Cash Balance (Pre-Financing)	70	(10)	130
Net Operational Status	Surplus	Deficit (Funding Needed)	Surplus

Managerial Decision: August reveals an absolute cash shortfall of IDR 10 Million. The manager must tap an active bank overdraft facility to prevent operational disruption.

6. Short-Term Financing Sources in the Indonesian Market

When internal cash projections identify seasonal or temporary shortfalls, managers can leverage several local funding mechanisms:

❶ **Kredit Modal Kerja (KMK) / Overdraft Facilities (Rekening Koran):**

- Offered by domestic commercial banks (e.g., Bank Mandiri, BCA, BRI). Interest is charged only on the exact capital drawn out. Highly adaptive to fluid daily requirements.

❷ **Accounts Receivable Factoring (Anjak Piutang):**

Selling outstanding commercial credit invoices to factoring specialists or institutional OJK-registered corporate Fintech platform solutions for rapid liquidity.

❸ **Spontaneous Financing Tools:**

Stretching *Accounts Payable* obligations with key suppliers via mutual commercial agreements, or deferring structural accrued liabilities (*Accruals*).

❹ **Commercial Paper Issues (Surat Berharga Komersial):**

Issuing unsecured corporate short-term debt instruments directly to wholesale markets for large enterprises holding investment-grade credit ratings.

7. Credit Policies & Accounts Receivable Management

Accounts receivable naturally emerge from selling products or services on credit terms to expand commercial sales volume.

Three Critical Pillars of Corporate Credit Policies

- **Terms of Sale:** Defining the structural collection timeline and early payment incentives (e.g., 2/10, net 30).
- **Credit Analysis:** Setting structural parameters to measure customer creditworthiness.
- **Collection Policy:** Governing administrative pathways to minimize bad debt exposure and address overdue accounts.

Formulas for Evaluating Investment in Receivables

Average Accounts Receivable = Average Daily Sales $\times$ Days Sales Outstanding (DSO)

Receivables Opportunity Cost = Average Accounts Receivable Balance $\times$ Cost of Capital

8. Economic Impact of Cash Discounts

Providing *cash discounts* aims to accelerate collection velocities and reduce overall DSO. However, skipping these discounts creates a measurable implicit cost for the buyer.

Formula: Annualized Implied Cost of Forgoing a Discount

$$\text{Effective Annual Rate (EAR)} = \left(1 + \frac{\% \text{ Discount}}{100\% - \% \text{ Discount}} \right)^{\frac{365}{\text{Credit Period} - \text{Discount Period}}} - 1$$

Analysis of Terms: 2/10, net 30:

- Buyers capture a 2% price discount by paying within 10 days; otherwise, full invoice settlement is required within 30 days.
- Implicit annualized cost if a client chooses to bypass this early window:

$$\text{Nominal Annual Rate} = \frac{2\%}{98\%} \times \frac{365}{30 - 10} = 2.04\% \times 18.25 = \mathbf{37.24\%} \text{ per annum}$$

9. Evaluating Credit Policy Modifications

Case Parameters: PT Sumatra Distribusi distributes consumer inventory at a wholesale price (P) of IDR 10,000/unit. Variable operating cost (V) is IDR 7,000/unit. Current baseline policy is strictly *Cash Only*. The firm is evaluating changing to a *net 30* credit policy.

Operational Baselines:

- Current Sales Vol (Q_0): 1,000 units/mo
- Post-Policy Vol (Q_1): 1,200 units/mo
- Monthly Required Return (R): 1%

Incremental Benefit Analysis:

- Δ Revenue = $(1,200 - 1,000) \times 10,000 = \text{IDR } 2,000,000$
- Δ Variable Cost = $(1,200 - 1,000) \times 7,000 = \text{IDR } 1,400,000$
- Δ Monthly Profit Stream = **IDR 600,000**

Net Present Value (NPV) Investment Calculation:

- Initial Policy Cost Investment = $P \times Q_0 + V \times (Q_1 - Q_0)$
- Initial Investment Cost = $(10,000 \times 1,000) + (7,000 \times 200) = \text{IDR } 11,400,000$
- Present Value of Permanent Monthly Incremental Cash Stream = $\frac{\Delta \text{ Profit}}{R} = \frac{600,000}{0.01} = \text{IDR } 60,000,000$

$$\text{NPV Calculation} = \text{IDR } 11,400,000 + \text{IDR } 60,000,000 = \text{IDR } 48,600,000$$

10. Core Credit Analysis Frameworks (The 5Cs & SLIK)

Before granting credit terms to new business partners, corporations assess credit risk using structured frameworks:

1. **Character:** The customer's reputation, historical integrity, and willingness to meet commercial obligations.
2. **Capacity:** Evaluating the client's operational liquidity and net cash flows to support debt repayment (via coverage ratios).
3. **Capital:** The underlying financial strength, equity base, and corporate capital leverage of the applicant company.
4. **Collateral:** Asset pledges or corporate guarantees available to mitigate credit losses in default scenarios.
5. **Conditions:** Broader economic trends, industry regulations, and sectoral stability affecting the buyer's market.

Indonesian Market Infrastructure

Large enterprises can access third-party credit rating reports (e.g., Pefindo) or request verified credit history records through the OJK financial reporting engine: **SLIK OJK (Sistem Layanan Informasi Keuangan)**.

11. Inventory Cost Components

Inventory balances act as operational shock absorbers but involve real costs that affect corporate profit margins.

Core Cost Components of Inventory

- ➊ **Carrying Costs:** Expenses for physical warehouse space (e.g., logistics spaces near Tanjung Priok port), security, insurance, obsolescence risks, and the internal opportunity cost of capital.
- ➋ **Ordering and Shortage Costs:** Fixed administrative processing costs per order, freight/shipping logistics expenses, alongside stockout costs (lost revenue due to inventory shortages).

Core Optimization Objective

Minimize the firm's **Total Annual Inventory Cost** by identifying the optimal order size.

$$\text{Total Cost (TC)} = \text{Total Carrying Cost} + \text{Total Ordering Cost} = \left(\frac{Q}{2} \times C \right) + \left(\frac{D}{Q} \times F \right)$$

12. The Economic Order Quantity (EOQ) Optimization Model

Standard Mathematical Model:

$$Q^* = \sqrt{\frac{2 \times D \times F}{C}}$$

Where:

- Q^* : Optimal order quantity size per cycle
- D : Annual structural demand volume (units)
- F : Fixed cost incurred per single order placement
- C : Annual carrying cost per individual unit

Case Study: PT Balikpapan Energy

- Annual demand (D): 10,000 material units
- Fixed administrative cost per order (F): IDR 2,000,000
- Annual inventory holding fee per unit (C): IDR 40,000

Mathematical Optimization Solution:

$$Q^* = \sqrt{\frac{2 \times 10,000 \times 2,000,000}{40,000}}$$

$$Q^* = \sqrt{\frac{40,000,000,000}{40,000}} = \sqrt{1,000,000} = 1,000$$

Key Operational Metrics derived:

Key Takeaways for Corporate Financial Managers

- Efficient ****Cash Cycle**** management frees up restricted liquidity, improving operational cash flows.
- Decisions regarding ****Cash, Receivables, and Inventory**** involve evaluating the trade-off between profit generation and company liquidity.
- Leveraging local financing tools (KMK from commercial banks, factoring, OJK-regulated systems) strengthens financial flexibility for companies operating in Indonesia.

Q&A

Thank You